4 Islamic Economics and the Economics of Other Religions

You shall not covet your neighbor's house; you shall not covet your neighbor's wife, or his manservant, or his maidservant, or his ox, or his ass, or anything that is your neighbor's.
—Exodus 20: 17, Holy Bible

Now the company of those who believed were of one heart and soul, and no one said that any of the things which he possessed was his own, but they had everything in common.
—Acts of the Apostles 4: 32, Holy Bible

It is evident that, unlike both capitalism and socialism, the goals of Islam are absolute and a logical outcome of its underlying philosophy.
—M. Umer Chapra, *Islam and the Economic Challenge,* 1992, p. 213

INTRODUCTION: WHAT IS THE TRADITIONAL ECONOMY?

In his 1944 book *The Great Transformation,* Karl Polanyi argues that the essence of traditional economies is that they are embedded within larger social and cultural frameworks. Whereas in market and command economies production and distribution decisions are made largely on economic grounds, with sociocultural factors subordinated to the economic ones, in traditional economies people decide according to past practices that have coevolved slowly with the religious and family structures of their societies. Such economies are often characterized by **familistic groupism** that extends beyond family groups. This was the original economic system as the human species evolved.

This original economic system can be called the **Old Traditional Economy,** characterized by primitive technologies as viewed from our current perspective. Such Old Traditional economies took various forms: Polanyi identifies three of them as **household, reciprocal,** and **redistributive.**[1] In the household economy, the focus is on family groups and sharing among them.[2] In the reciprocal economy, exchange relations between groups take a ritualistic form of gift giving that is reciprocated. An example is the Trobriand Islanders, who were studied in the early 1920s by Bronisław Malinowski in

1. Much controversy has occurred within economic anthropology over these categories, with **formalists** arguing that all economies are market economies obeying universal laws, in contrast with **substantivists** associated with Polanyi, whose ideas are closely related to those of the institutionalist economists. Formalist ideas are explained in Edward E. LeClair, Jr., and Harold K. Schneider, eds., *Economic Anthropology: Readings in Theory and Analysis* (New York: Holt, Rinehart, & Winston, 1974). Substantivist arguments are upheld in Rhoda Halperin, *Economies Across Cultures* (New York: Macmillan, 1988). Yet another variation is the argument that all economies are embedded but that what matters is how they are embedded. See Bernard Barber, "All Economies Are Embedded: The Career of a Concept and Beyond," *Social Research* 62 (1995): 387–413. Further discussion is found in J. Barkley Rosser, Jr., and Marina V. Rosser, "A Comparison of Comparative Economic Anthropologies," *History of Economics Review* 23 (1995): 96–107.

2. Polanyi originally argued that the household form was historically the most primitive, but later came to accept that it was more closely associated with more technologically advanced peasant societies and that the most technologically primitive societies were of the reciprocal type. This is discussed in James P. Stodder, "The Evolution of Complexity in Primitive Exchange," *Journal of Comparative Economics* 23 (1995): 1–32, 190–210.

his *Argonauts of the Western Pacific*. In the redistributive system, a Big Man or another central authority redistributes goods. This form became the model for the despotic ancient empires.[3]

In all of the Old Traditional economies, a crucial part of the sociocultural matrix within which economic decision making is embedded is the traditional religion that dominates the society. In the **New Traditional Economy** there is an effort to re-embed economic decision making within such a religiously derived sociocultural matrix, but with modern technology instead.

THE APPEAL OF THE NEW TRADITIONAL ECONOMY

The New Traditional Economy seeks to be the best of all possible worlds, combining old with new, individual with collective, ethical with practical. It is supposed to be the true Third Way between capitalism and socialism, drawing upon the virtues of each while eliminating the sins of each.

On the one hand, the proponents of the New Traditional Economy look backward nostalgically to the lost world of the Old Traditional Economy through a haze of myth and memorialization. On the other, they seek to function in the modern world with modern technology, indeed to use such technology to further the spread of their religion[4] in the search for a humane socioeconomic order. The harmony of the family and the group will be preserved or renewed in the face of modern tendencies toward alienation, angst, crime, marital breakdown, and general social disintegration.[5]

3. Marx identified the ancient empires of China and India as exhibiting what he called the **Asiatic mode of production,** which he identified as standing outside the usual stream of history because the state suppressed class conflicts through control of crucial public infrastructure. Karl Wittfogel identified control of agrohydraulic infrastructure as the key to this system in his *Oriental Despotism: A Comparative Study of Total Power* (New Haven, Conn.: Yale University Press, 1957).

4. One such example is televangelism in the United States among Protestant fundamentalists. Another is the use of remote computer terminals for female students to access library materials in Saudi Arabian universities without having to come into contact with any men in the libraries themselves.

5. It can be argued that the New Traditionalism movement is an effort to develop *social capital,* generally defined as a set of mutually supporting social networks generating generalized trust. For definitions see James S. Coleman, *Foundations of Social Theory* (Cambridge, Mass.: Harvard University Press, 1990), and Robert D. Putnam, *Bowling Alone: The Collapse and Revival of the American Community* (New York: Simon & Schuster, 2000). For its possible role in economic development see Francis Fukuyama, *Trust: The Social Virtues and the Creation of Prosperity* (New York: Free Press, 1995); John F. Helliwell and Robert D. Putnam, "Economic Growth and Social Capital in Italy," *Eastern Economic Journal* 21 (1995): 295–307; Stephen Knack and Philip Keefer, "Does Social Capital Have an Economic Payoff? A Cross-Country Investigation," *Quarterly Journal of Economics* 112 (1997): 1251–1288; Michael Woolcock, "Social Capital and Economic Development: Toward a Theoretical Synthesis and Policy Framework," *Theory and Society* 27 (1998): 151–208; and Partha Dasgupta and J. Serageldin, eds., *Social Capital: A Multifaceted Perspective* (Washington, D.C.: World Bank, 1999).

Movements reflecting such ideas have sprung up among most major religions of the world. The one most clearly projecting a well-defined view of economics is Islam. This partly reflects the fact that its founder, the Prophet Muhammed, was a merchant, and thus was more knowledgeable about such matters than most other founders of world religions. Nevertheless, other religions also reflect certain views regarding appropriate economic conduct or structures. Fundamentalist variants urge their adoption as part of broader campaigns of moral and social transformation.[6]

A WHIRLWIND TOUR OF RELIGIONS AND ECONOMICS

We shall briefly review broad currents of major world religions in terms of their ideas about economic conduct. These will include Buddhism, Confucianism, Hinduism, Judaism, and Christianity. Then we shall consider the case of Islam in more detail, as this is the most prominent and most fully developed form of the new traditional economic system in the contemporary world.

Buddhist Economics

In a famous essay,[7] E. F. Schumacher extols the virtues of **Buddhist economics,** arguing that the goal of humanity should be spiritual liberation and that Buddhist economics offers a means to this end. He invokes a vision of a balanced attitude toward work, directed at achieving a level of consumption that is satisfying but not saturating. Schumacher exalts the harmony of humanity and nature, saying that trees should be worshipped, that non-renewable resources should not be wasted, and that local production should be favored over long-distance trade in order to reduce wasteful transportation activities and to encourage self-sufficiency. His essay has become popular with the environmental movement.

Is there such a thing as Buddhist economics, and does it correspond with the idealized image presented by Schumacher? The answer is not simple. In much of the Buddhist world, especially China and Japan, the religion has played a relatively passive role, supporting market or traditional forms often more deeply based on other religious traditions such as Confucianism. As a dominant ideology, Buddhism has been confined to South and

6. We note here a distinction between *religious economics* and the *economics of religion* that has been made by Timur Kuran, "Religious Economics and the Economics of Religion," *Journal of Institutional and Theoretical Economics* 150 (1994): 769–775. The former advocates as an ideology a particular religion's view of economics to be imposed on societies, whereas the latter is the scholarly study of the impact of different religions on economies.

7. See E. F. Schumacher, *Small Is Beautiful* (New York: Harper & Row, 1973), chap. 4.

Southeast Asian countries, where it is practiced in its southern form known as *Hinayana* ("Lesser Vehicle") or *Theravada* ("Way of the Elders").[8]

Nations where this form of Buddhism has flourished are Sri Lanka (formerly Ceylon), Burma (also known as Myanmar), Thailand, Laos, and Cambodia (also known as Kampuchea). Sri Lanka and Burma were part of British India prior to the late 1940s, while Laos and Cambodia were part of French Indochina, along with *Mahayana* ("Greater Vehicle") Buddhist Vietnam prior to 1954, the Mahayana form predominating in China, Korea, and Japan. Thailand, known as Siam before World War II, was a buffer between these two large British and French colonial entities and maintained its independence.

In Laos and Cambodia no such Buddhist movement exists openly because the official ideology is orthodox Marxism-Leninism, now gradually undergoing a transformation. But some observers[9] see Buddhist influences in local forms of that ideology.

Buddhism in Thailand evolved during the nineteenth century under powerful kings who emphasized a rationalistic and individualistic form of the religion, with each individual responsible for his or her own enlightenment. This attitude coincides well with market capitalism, and today Thailand is a rapidly growing example of such an economy, despite recent financial upheavals and the emergence of dissident antimaterialist Buddhist movements such as the *Santi Asoke* sect.

In Sri Lanka and Burma (now Myanmar), Buddhism became identified with nationalist and anticolonialist movements and developed a militant form[10] associated with socialist views of economics, labeled **Buddhist socialism** in Burma. The developer of this ideology was U Ba Swe, who in the late 1930s referred to Stalin as "builder of *Lokka Nibban*" or the Buddhist heaven on earth. U Ba Swe influenced Burma's first prime minister, U Nu, and was a government minister from 1948 to 1958. Their ideal was *pyidawatha,* or a welfare state in which each individual could pursue salvation. That government was overthrown in 1962 by General Ne Win, who established a brutal and xenophobic military dictatorship that is still in power. Although this regime proclaims itself Buddhist, among its most serious opponents are monks.

Schumacher emphasizes detachment from materialism and a deemphasis on mindless economic growth. Burma has had a very low economic growth rate since its independence, but the Burmese leadership no longer views this as a good thing. Part of this low growth is

8. One exception is Tibetan Buddhism, although since the exile of the Dalai Lama in 1959, Chinese Communism has dominated Tibet rather than Tibetan Buddhism, which has become an internationally influential religion with many Western followers while remaining dominant in tiny Bhutan. Like Schumacher, the Dalai Lama has prominently supported the world environmental movement.

9. See Charles F. Keyes, "Buddhism and Revolution in Cambodia," *Cultural Survival Quarterly* 14 (1990): 6–63.

10. In Sri Lanka this militance has coincided with serious military conflict between the Buddhist/Sinhalese majority and the Hindu/Tamil minority.

caused by Burma's removal from international trade and bungled socialist central planning under Ne Win. But part is a result of elements of Buddhism as expressed in Burmese practices.[11] A major focus of Burmese Buddhism has been the achievement of individual merit by sponsoring the building of temples. This focus leads to contradictory impulses. On the one hand, this serves as a Protestant ethic type of motivation for accumulating wealth. On the other, it leads to dissipation of that wealth in building temples rather than real capital investment and long-run economic growth. Along with building temples has gone substantial economic support for Buddhist priests.

Confucian Economics

Arguably Confucianism should not be included in this discussion, as it is more a philosophy and a cultural influence than a religion. Its current influence does not take the form of religious leaders advocating some fundamentalist adherence to holy scriptures or priestly hierarchies. Nevertheless among East Asian countries under Chinese cultural influence,[12] elements of Confucianism are seen to have an impact on the nature of the economic systems. In such countries as Singapore and Taiwan, as well as more recently in the communist People's Republic of China, advocacy of Confucian values has been actively encouraged by government leaders, often explicitly as a counterweight to liberal Western influences.

Confucius was a scholar/adviser of the sixth century B.C.E. to political leaders, and he wrote his ideas in the *Analects,* with many later discussions and additions by other Confucian scholars. Its five central concepts are benevolence (*jen*), righteousness (*i*), propriety (*li*), wisdom (*zhi*), and faithfulness (*xin*), the first of these being the most important. Benevolence implies a hierarchy in which benevolent elites (the emperor in China and his scholarly Mandarin bureaucrats) rule those who, in return, are loyally obedient to those elites as long as they truly practice benevolence. This idea extends to the family, where the son obeys the father and the wife obeys the husband. Thus there is strong emphasis upon order, hierarchy, education, and benevolence, all argued to be crucial elements of Confucian societies and their economies.

Confucian attitudes toward market forces have been mixed. There are passages in the *Analects* supporting a laissez-faire approach as long as the emperor is properly benevolent and reverent and celestial harmony is being maintained. But during the 1100s a form of **neo-Confucianism** developed that eventually became strongly opposed to commerce, industrialization, and foreign trade.

11. See Melford E. Spiro, *Buddhism and Society: A Great Tradition and Its Burmese Vicissitudes* (New York: Harper & Row, 1970).

12. Besides countries with largely ethnic Chinese populations, this group would certainly include Japan, Korea, and Vietnam.

Generally the current Confucian revival in East Asia tends to support reliance on market forces, although with authoritarian state structures and elements of state planning and control. This is true in both very capitalist Singapore as well as in the still socialist People's Republic of China. It has been widely argued that Confucianist values can be very conducive to the support of rapid economic growth and development,[13] although the financial crisis that erupted in East Asia in 1997 made many wary of the potential for **crony capitalism** and corruption that may go along with such a cultural environment.

Hindu Economics

Hinduism is the predominant religion of India, the world's second most populous nation. Central to the Hindu socioeconomic worldview is the caste system, the archetype of an old traditional economic system. The caste system, justified by the karmic doctrine of reincarnation, persists in the **jajmani system** of fairly self-sufficient groups of local villages trading with each other through the well-defined division of labor provided by the hereditary caste system. In past centuries various outside rulers, such as Muslim Moguls and Christian British, tried to penetrate and break this system. But it survived, partly as a result of the Hindu village tradition of paying a share of its output to the current ruler without question.

The foundation of **Hindu economics** was laid down by the father of Indian independence, Mohandas (Mahatma) Gandhi, in his 1909 book *Hind Swaraj*. *Swaraj* means self-rule and self-sufficiency, both nationally and at the village level, in a revitalized caste system purged of evil elements such as suppression of the Untouchables, the lowest caste, whom Gandhi renamed *Harijan* ("children of God"). The emphasis on economic nationalism and self-sufficiency continues in the Hindu nationalist Bharatiya Janata Party (BJP) today, although modified considerably since it has come to lead the government in a coalition with other parties, some of which do not support such ideas.

Despite his desire to reform the Hindu caste system, Gandhi was essentially an Old Traditionalist in his economic views, strongly opposing modern industrialization, railroads, and urbanization. He idealized homespun cloth and made the village spinning wheel the symbol of his movement, calling indigenous technology *swadeshi*. Gandhi also opposed excessive consumption, paralleling the views of the Buddhists. Gandhi was assassinated by a Hindu extremist in 1948 for his tolerance of other religions.

13. Among the first to emphasize the growth-encouraging elements of Confucianism was Herman Kahn, *World Development: 1979 and Beyond* (Boulder, Colo.: Westview Press, 1979). Further discussion appears in T. Hung-chao, ed., *Confucianism and Economic Development: An Oriental Alternative?* (Washington, D.C.: Washington Institute Press, 1989); G. Rozman, ed., *The East Asian Region: Confucian Heritage and Its Modern Adaptation* (Princeton, N.J.: Princeton University Press, 1991); and J. Barkley Rosser, Jr., and Marina V. Rosser, "Islamic and Neo-Confucian Perspectives on the New Traditional Economy," *Eastern Economic Journal* 24 (1998): 217–232.

In his 1965 book *Integral Humanism,* Deendayal Upadhyaya transformed this Gandhian inheritance into a New Traditional view for the Hindu nationalist political movement. Upadhyaya largely reiterates Gandhi's views, although with less emphasis on uplifting the Untouchables and more emphasis on adapting to modern technology. He advocates *swadeshi* but interprets it in the sense of **appropriate technology** as described by development economists. He still advocates a decentralized system of self-sufficient villages with caste systems, but with more modern and productive small-scale technologies. The theory and practice of Hindu economics in India is discussed more fully in chapter 16.

Judaic Economics

The Torah, especially Exodus, Leviticus, and Deuteronomy, contains a long list of specific rules and injunctions regarding economic behavior. Many are consistent with markets and private property, as exemplified by the Ninth Commandment, quoted at the beginning of this chapter. However, many of these strictures are irrelevant in the modern world, such as rules about the selling or treatment of slaves.[14] Some have drawn the attention of certain Orthodox Jews as perhaps being appropriate for Israeli society.[15] Among these are the use of tithes for redistributing income and the prohibition of charging interest among Jews, although this rule is not applied to non-Jews.[16]

The concept of the **Jubilee Year** is a dramatic example of a religious idea influencing current economic behavior. Put forward in Leviticus 25, it generalizes the prohibition against working on the Sabbath, a rule that has generated the most heated specific demands by fundamentalist groups in Israel, such as forbidding flights on the Sabbath by the national airline, El Al. The generalized version of the Sabbath argues for the fallowing of land every seventh year. After seven groups of seven years (49) will come a jubilee year. Property will be remitted to its original owner, recently acquired slaves will be freed, the poor sojourner will be cared for, and so forth. At the beginning of the twentieth century, the Chief Rabbi of Jaffa, Abraham Kook, argued that this implied the preemptive sale of Jewish lands to their earlier Muslim owners. This advice conflicted with the **Zionist movement** to build an Israeli nation and was not followed. The Jubilee Year idea has been picked up by certain

14. Jacob Neusner in *The Economics of the Mishnah* (Chicago: University of Chicago Press, 1990) argues that earlier laws and interpretations tend to reflect a traditional premarket economy, whereas later ones reflect more of a market capitalist one. An argument that Judaic laws support so many interventions in markets that they suggest a socialist perspective is expressed in Walter Block, "The Mishnah and Jewish Dirigisme," *International Journal of Social Economics* 23 (1996): 35–44.

15. See Meir Tamari, *"With All Your Possessions": Jewish Ethics and Economic Life* (New York: Free Press, 1987), for a presentation of these rules as a full economic system.

16. This differentiation between insiders and outsiders with respect to charging interest led to Jews filling a significant role as financiers in medieval Christian and Islamic societies when the latter two both forbade the charging of interest among their followers.

non-Jews, notably Pope John Paul II and Bono of U2, in arguing for debt relief for developing nations.

Modern Israel emphasizes building a functioning economy within a hostile environment. Some of the most distinctive institutions of the Israeli economy have not come from religious sources, notably the **kibbutz,** which was inspired by secular European utopian socialism, although the most successful kibbutzes today appear to be those that were founded by religiously oriented Orthodox Jews.[17] Indeed, the Israeli economy exhibits a fairly high level of state ownership reflecting the socialist nature of the founding Labor Party, despite more recent movements toward privatization and free markets, which have also undermined many of the kibbutzes. Although the fundamentalist movements are very strong in Israel, economic proposals that are perceived to be counter to national survival are strongly resisted.[18]

Christian Economics

In the Roman Catholic Church an important figure in developing economic doctrines was St. Thomas Aquinas, who in the thirteenth century reconciled Aristotelian philosophy with Christian theology. Among Aristotle's ideas that he imported into Catholicism were the idea of the **just price** and an abhorrence of charging interest.[19] Aquinas can be considered an ideologue of the Old Traditional Economy in its feudal European form.

This linkage between feudalism and Roman Catholicism led to a lack of enthusiasm for modern capitalism. However, despite the presence of certain Marxist-oriented *liberation theologists* among Latin American Catholic clergy, the Church has generally been antisocialist, especially under Pope John Paul II of Poland. He supports market capitalist economics more than any previous Pope, but is still critical of its excessive materialism and lack of compassion for the poor.[20] In Italy and Germany the Catholic Church–based

17. See A. Fishman, "Religious Socialism and Economic Success on the Orthodox Kibbutz," *Journal of Institutional and Theoretical Economics* 150 (1994): 763–768.

18. Besides some of the Sabbath issues, one other economic area where the fundamentalists have gotten their way is in forbidding the consumption of pork. The most extreme of the Jewish fundamentalist movements are explicitly anti-Zionist, arguing that a state of Israel can only be reestablished by the Messiah, who has not yet arrived.

19. Forbidding interest as **usury** dates back in Catholicism to the fourth and fifth centuries. The prohibition of interest was made absolute and total in 1311 by Pope Clement V but was relaxed to limit only "excessive" interest after 1600.

20. See United States Catholic Conference, *Economic Justice for All: Pastoral Letter on Catholic Social Teaching and the U.S. Economy* (Washington, D.C.: USCC Office of Publishing and Promotion Services 1986). The movement of the Catholic Church under Pope John Paul II away from support of leftist liberation theology in Latin America has been reinforced by the need to gain support from local elites and governments against competition from Protestant evangelizers, according to Anthony J. Gill, "The Institutional Limitations of Catholic Progressivism: An Economic Approach," *International Journal of Social Economics* 22 (1996): 135–148. See also Clive Beed and Cara Beed, "Work Ownership Implications of Recent Papal Social Thought," *Review of Social Economy* 60 (2002): 47–69.

political parties have been the Christian Democrats. More conservative than the Social Democrats in Germany or the former Communists and Socialists in Italy, these parties have supported fairly extensive social welfare programs and considerable state economic intervention in both countries, although in the 1990s the Christian Democratic Party in Italy disintegrated because of corruption problems.

In contrast, Christian Protestantism has been more closely linked to market capitalism both socially and ideologically. Max Weber argued that "the **Protestant ethic** is the spirit of capitalism."[21] Certainly the Protestant Reformation occurred in countries and at times that modern market capitalism was rapidly developing, the most supportive attitude coming from Calvinist churches in Northern Europe. Nevertheless, among the most radical of the Anabaptists, communal attitudes and approaches emerged, based on the scripture from Acts quoted at the beginning of this chapter. Some of these sects founded communities in the United States during the period of utopian socialist experimentation. But they were a small minority in generally pro-market capitalist Protestantism, although the Social Gospel movement of the late nineteenth century in the United States favored income redistribution and was linked to the rise of institutionalist economics.[22]

This fervor for market capitalism is exhibited prominently in the modern American Protestant fundamentalist movement that now attempts to formulate economic doctrines. However, this group is very diverse in its views (box 4-1).

Who speaks for the masses of U.S. fundamentalists is uncertain. The pro-laissez-faire New Christian Right has been vocal and has formed a successful alliance with the leaders of the New Christian Right social movements, especially the antiabortion movement. Nevertheless survey evidence suggests that many fundamentalists support income redistribution programs by the government, probably reflecting the tendency for these groups to be poorer than the average American.[23] This finding also reflects the populist tradition of American fundamentalism dating from the late nineteenth century.

Given the differing views among both fundamentalist and mainstream Protestants as well as Roman Catholics, the true nature of Christian economics remains unclear.[24]

21. See Max Weber, *The Protestant Ethic and the Spirit of Capitalism,* trans. by Talcott Parsons (New York: Charles Scribner's Sons, 1958) (originally published in German, 1904–1905).

22. See R. A. Gonce, "Social Gospel, Ely, and Commons," *Journal of Economic Issues* 30 (1996): 641–665.

23. Laurence R. Iannacone, "Heirs to the Protestant Ethic? The Economics of American Fundamentalists," in M. E. Marty and R. S. Appleby, eds., *Fundamentalisms and the State: Remaking Polities, Economies, and Militance* (Chicago: University of Chicago Press, 1993), pp. 342–366.

24. The position of Eastern Orthodoxy is especially unclear. Traditionally in Russia, the church was more anticapitalist than Roman Catholicism, although not necessarily antimarket. But the experience of Communist rule in Russia made the church somewhat more open to it, although not much so.

Box 4-1
Varieties of U.S. Protestant Fundamentalist Economic Views

At one extreme are the *strict fundamentalists,* who abjure discussions of economics or politics entirely, considering them to be a sinful distraction from the focus upon personal salvation. Although strongly anticommunist, they view the market as ultimately a sinkhole of sin and corruption, and they denounce their fundamentalist brethren who are involved in political and economic activities.

Somewhat more moderate, but also adhering to the doctrine of biblical *inerrancy,* are the New Christian Right fundamentalists, who have been very active in politics, with definite views on economics. Closely linked to former presidential candidate Pat Robertson, Jerry Falwell, and the Southern Baptist Convention, this group has been avidly pro-market capitalist. Economists at Jerry Falwell's Liberty University in Lynchburg, Virginia, strongly advocate Milton Friedman's Chicago School approach, albeit with a strong underpinning of Judeo-Christian morality.

More moderate theologically but more radical in their libertarian economics are the Christian Reconstructionists of the Calvinist Dutch Reformed Church. They believe that heaven must be created on earth before Christ will come again, an Austrian School heaven based on biblical quotations.* Thus the biblical tithe is cited as supporting a flat tax. God's ultimate authority rules out central planning, the latter being a form of idolatry. The Eighth Commandment ("Thou shalt not steal") is seen as forbidding any income redistribution by government. The use of metallic currencies in the Old Testament is seen as support for the gold standard, contrasting with the position of 1890s populist/fundamentalists such as William Jennings Bryan with his anti–big business "Cross of Gold" speech.

Despite this trend for U.S. fundamentalists to strongly favor laissez-faire economics, some do not. The *evangelical left* includes believers in biblical inerrancy who cite the already noted quotation from Acts and the Leviticus jubilee laws, as well as Jesus's concern for the poor. They support major government income redistribution, a national food policy, "just" international trade, and guaranteed wages.† Further to the left is *radical evangelicalism,* advocating full-blown socialism.

*See Gary North, *Inherit the Earth: Biblical Principles for Economics* (Fort Worth, Tex.: Dominion Press, 1987).
†See Ronald Sider, *Rich Christians in an Age of Hunger* (Downer's Grove: Intervarsity Press, 1977).

A BRIEF HISTORY OF ISLAM

The Prophet Muhammed and the Early Years

Islam was founded by the Prophet Muhammed (570–632 C.E.), a successful merchant in the west-central Arabian city of Mecca. This city lay at the intersection of major north-south and east-west trade routes and contained a shrine known as the *Ka'bah* that was the destination of annual pilgrimages by many Arabian tribes. Thirty-two different gods were worshipped there and had idols set up for the benefit of the pilgrims. The Prophet Muhammed belonged to the Hashemite clan; but Mecca was dominated by the Quraysh clan, which controlled the earnings obtained from the pilgrims coming to worship at the *Ka'bah*.

Around 610 the Prophet Muhammed began to receive revelations from Allah through the angel Gabriel. These revelations continued until his death and constitute the body of the

Qur'an,[25] which was not codified into *suras* (chapters) until after his death. He also made many pronouncements separate from the *Qur'an* that are collectively known as the *Hadith*. These two sources are the foundation of the Islamic law code, the *Shari'a*.[26]

Many early revelations deal with predictions of a Day of Judgment and the End of the World, not unlike in the Book of Revelations in the New Testament. These *suras* reflect wrath against the arrogant attitudes of the wealthy Quraysh and their lack of charity toward the poor. All persons are equal in the eyes of Allah.

A fundamental point is an absolute and uncompromising monotheism. There is no god but Allah, who is all powerful and utterly transcendent. The central concept of Islam is submission to the will of Allah; the word *Islam* means exactly that.

This assertion of monotheism threatened the livelihood of the Quraysh, who profited from the pilgrims worshipping the gods of the *Ka'bah*. In 613 the Prophet Muhammed went public and preached openly, drawing the strong opposition of the ruling Quraysh. Nevertheless he attracted a core of dedicated followers, especially among the poor and dispossessed.

In 622 the *Hijra* occurred—the migration of the Prophet Muhammed and his followers to Medina ("City of the Prophet"), an agricultural city north of Mecca, to which he was invited by conflicting tribes desiring a mediator.[27] This was year 1 of the Islamic calendar and is viewed as the beginning of the world Islamic community, the **umma.**[28] The umma is a religious/political/economic entity in which unity, or *tawhid,* is paramount. All things are unified in the Islamic religion.

Thus the Prophet Muhammed became a political leader as well as a religious prophet. The *Qur'anic suras* of this time establish rules for marriage, inheritance, and many other issues that arise in the functioning of a society. It is these *suras* that form the base of the *Shari'a,* along with the *Hadith*. During these ten years, the Prophet Muhammed succeeded in converting most of the tribes of the Arabian peninsula into the *umma,* including the Quraysh in Mecca.[29]

25. Also spelled *Koran* in many English language mass media.

26. The word *shari'a* in Arabic originally meant "path" or "way," especially the path to a water hole. Some argue that *Shari'a* refers to a general philosophy of behavior rather than a set of specific injunctions and rules. This argument has been popular with more liberal Muslims opposed to fundamentalist movements.

27. Some of these tribes were Jewish, and he initially made Islam very similar to Judaism. He always declared Allah to be the one God of the Jews and the Christians. Eventually a conflict broke out and he expelled the Jews, seized their property, and differentiated Islam more sharply from Judaism, for example by shifting the day of rest and worship from Saturday to Friday.

28. The familial/traditional aspect of this concept is highlighted by the fact that *umma* comes from *umm,* which is the Arabic word for *mother.*

29. After smashing the 32 idols in 630, the Prophet Muhammed established the principle of *Hajj,* or Islamic pilgrimage to Mecca.

After the Prophet Muhammed's death in 632, the inner circle of his companions selected a successor to him known as a **caliph,** who would lead the *umma* but would not be a prophet. Struggles over the caliphate would eventually divide Islam.

By 644 the caliphs had successfully conquered Syria, Palestine, Egypt, Iraq, Iran, and portions of Central Asia. Over the next 75 years North Africa and Spain would be conquered, ending 100 years after the Prophet Muhammed's death with a thrust into central France, which was thwarted at Tours.

Over this suddenly vast empire the caliphs imposed a reasonably benevolent rule, leaving intact local political and social structures. Believers in monotheism—Jews, Christians, and Zoroastrians—were allowed to practice their religion as long as they paid a special tax.

The fourth caliph was the Prophet Muhammed's son-in-law, Ali, whose caliphate was contested by Mu'awiya of the Quraysh clan. Ali's supporters came to be known as *Shi'is,*[30] while Mu'awiya's supporters came to be known as *Sunnis*.

In 680 Mu'awiya's son, Yazid I, defeated and killed Ali's son, Husayn, and his Shi'i followers at the battle of Karbala in Iraq, a martyrdom annually mourned by Shi'is on its anniversary. This formed the main split within Islam. Yazid's victory signaled the general dominance of Sunnis, who constitute about 85 percent of the world's Muslims. Shi'is are dominant in Iran. They are a majority and a plurality, respectively, in Iraq and Lebanon, but Sunnis have dominated both countries politically, socially, and economically. Small Shi'i sects dominated politically in Yemen and Syria.[31] East of Iran, Shi'is are frequently of the urban middle class, but generally they are a small minority.[32]

The Rise and Fall of Islamic Civilization

The apogee of Islamic civilization came during the Abbasid caliphate, based in Baghdad after 750. A high point was the rule of Harun al-Rashid (786–809). Baghdad was the world's largest city outside of China, and China was Baghdad's only rival in science and the arts. Muslim scholars studied the ancient Greek philosophers, who were banned in Christian Europe, and expanded upon their knowledge with such intellectual achievements as the development of algebra and Arabic numerals. Under Abbasid rule Islam became a

30. The term *Shi'ite* is frequently used in journalism but is considered by many believers in Shi'ism to be pejorative.

31. In Yemen it is the *Zaydis* who are numerically dominant and are often viewed as being the closest to the Sunnis of all the Shi'i groups. In Syria, the ruling El-Assad family are all from the *Alawite* sect of Shi'ism, which constitutes about 10 percent of Syria's population. However, the French favored them for positions in the officer corps during colonial rule, which allowed them to seize power later in a military coup. Officially Syria has a secular Arab socialist (*Ba'athist*) regime, like Iraq formerly had.

32. This is where the largest numbers of Muslims are found. The four countries with the largest Muslim populations are, in descending order, Indonesia, Bangladesh, India, and Pakistan.

truly multinational religion, transcending its Arabic origins even as Arabic became the lingua franca of the empire.

During this period the Sunni *Shari'a* underwent considerable development and broke into competing versions under the pressure of absorbing peoples with different cultures and traditions into the empire.[33] The foundation of the *Shari'a* was the *Qur'an* and the *Hadith*. But these works were not definitive because much of the *Qur'an* is written in a highly poetic language subject to many possible interpretations, and debate arose regarding the validity of certain *Hadith:* Were they actually said by the Prophet Muhammed or were they made up by someone later to justify a non-Islamic practice?[34]

After the death of Harun al-Rashid the caliphate began a long decline, breaking up into many small successor states by the mid-900s.[35] Despite this fracturing, the period 900–1700 actually saw the greatest expansion of Islam in terms of converts. In some areas this involved local populations adopting the long-established religion of the rulers, as in the Middle East. In other regions, conquest by Muslim successor states was crucial to converting the populace, as in Central and South Asia. Finally, in many areas the conversion was led by merchants[36] and missionaries, as in sub-Saharan Africa, Malaysia, and Indonesia. After 1700 the global expansion of Islam slowed as it encountered the expanding power of industrializing Christian Europe.

33. For a detailed account of the development of the Sunni *Shari'a* see Joseph Schacht, *An Introduction to Islamic Law* (Oxford: Oxford University Press, 1964). The four Sunni Shari'as are the *Hanafi,* the most liberal; the *Maliki,* popular in North Africa; the *Shafi,* popular in Southeast Asia; and the *Hanbali,* the strictest, enforced in Qatar and Saudi Arabia, where it has spread as the *Wah'habist* ideology of the Saudi royal family since 1740. Wah'habism has inspired some of the more militant Islamic movements in former Soviet Central Asia, including the former Taliban regime in Afghanistan and the al Qaeda movement of Osama bin Laden. The Shi'is have *Shari'as* but allow more leeway by current leaders in interpreting them.

34. A major source of controversy between the *Shari'as* was *ijtihad,* or interpretation, which was a method of allowing new practices in Islam. After the tenth century "the gate of *ijtihad*" was closed and no new interpretations were allowed. Some claim that this led to an ossification of Islam that contributed to its political and economic decline. See W. Montgomery Watt, *Islamic Fundamentalism and Modernity* (London: Routledge, 1988).

35. An early analyst of the decline of Islam was the great medieval Muslim philosopher and historian Ibn Khaldun, who argued that Islam rose through conquest by nomadic warriors who lost their vigor once in power. He also noted the decay of scientific inquiry in Muslim countries compared with some of the Christian states of his time and also discussed economic issues from an Islamic perspective. See his *The Muqaddinah: An Introduction to History,* trans. by F. Rosenthal, 3 vols. (New York: Pantheon Books, 1958 [originally in Arabic, 1379]); and Charles Issawi, trans. and arranger, *An Arab Philosophy of History: Selections from the "Prolegomena" of Ibn Khaldun of Tunis (1332–1406)* (Princeton, N.J.: Princeton University Press, 1987). See also Akbar Ahmed, "Ibn Khaldun's Understanding of Civilizations and the Dilemmas of Islam and the West Today," *Middle East Journal* 56 (2002): 20–45.

36. The role of merchants is tied to the lower transactions costs that may accrue from trust between coreligionists. See Jean Ensminger, *Making a Market: The Institutional Transformation of an African Society* (Cambridge: Cambridge University Press, 1992) and Jean Ensminger, "Transaction Costs and Islam: Explaining Conversion in Africa," *Journal of Institutional and Theoretical Economics* 153 (1997): 4–29.

The early twentieth century brought a low point for Islam as most Muslim states became colonies of Christian European powers; only Turkey, Saudi Arabia, Iran, and Afghanistan maintained formal independence throughout the twentieth century. The modern revival of Islam arose in the context of nationalist and anticolonialist struggles against this domination during the second half of the twentieth century.

The New Traditional Islamic Revival

At the start of the twenty-first century Islam is surging as a movement, strongly reviving throughout its traditional base and rapidly spreading beyond it. This is caused mostly by very high birth rates[37] in many Muslim countries and migration into other areas, including European countries. In France the Muslim influx has stimulated ultranationalist and antiforeigner political movements, symbolized by the second-place finish by the anti-immigrant Jean-Marie Le Pen in the 2002 French presidential election. But Muslim proselytization is occurring in many other parts of the world as well.

In core zone countries, either a self-styled Islamic fundamentalist government is in power or a significant opposition movement is Islamic fundamentalist. A universal demand of these movements is for imposing and enforcing a *Shari'a* law code. Since there are several different *Shari'as,* disputes can arise once implementation is actually attempted,[38] although in many countries one *Shari'a* is clearly preferred. This demand for the imposition of a *Shari'a* has extended to countries with significant non-Muslim populations, such as in certain states of Nigeria and in Sudan, where such demands have aggravated a long-running civil war.

The list of countries that have adopted a *Shari'a* code includes Sudan, Saudi Arabia, Qatar, Iran, Pakistan, and Afghanistan under the ultrafundamentalist Taliban (which was ruled by the Soviet Union for a while in the 1980s). In Algeria an Islamic fundamentalist party that promised to adopt a code won an election but was prevented from assuming power by the military; a civil war ensued as a result. Countries moving toward partial

37. Perhaps the most controversial element of Islamic fundamentalism is its view of the role of women. Without question the *Qur'an* gives women a lower status than men economically through unequal inheritance laws, the right of men but not women to multiple spouses, and the greater ease of divorce for men. However, women are allowed to own property, and except for prostitution there are no restrictions on labor market entry. In many Muslim countries women participate in skilled professions, although generally they have substantially less education than men. The Prophet Muhammed respected women, and some demands by Islamic fundamentalists are not to be found in the *Qur'an* or the *Hadith,* such as requiring the wearing of the veil, which reflects tribal practices and traditions. In many cases, the conversion to Islam of such tribes improved the status of women, who were previously not allowed to inherit property. In some places, men were previously allowed to have more wives than the four allowed by Islam.

38. One example is that since the official adoption of the *Shari'a* in Pakistan, no thief has had his hand chopped off because of a disagreement between different codes as to whether the hand should be chopped at the wrist or at the base of the thumb and fingers. Also, it must be proven that a thief did not steal out of need.

adoption of a *Shari'a* code include Nigeria, Egypt, and Malaysia. In Jordan and Morocco the monarchs stress their direct descent from the Prophet Muhammed and lavishly fund the *ulama* (Islamic clergy) and the mosques. In many Central Asian republics of the former Soviet Union, Islam is on the rise and Islamic fundamentalists were involved in a war with the government in Tajikistan, as they have been in the Russian republic of Chechnya. Uzbekistan helped overthrow the Taliban in Afghanistan after facing violence from its own Islamic Movement of Uzbekistan. Islamic fundamentalists have also played roles in the wars in Bosnia-Herzegovina and Kosovo in the former Yugoslavia, and a long-running Islamic guerrilla movement operates in the southern areas of the Philippines, whose population is about 90 percent Roman Catholic. In some mostly Muslim nations, such as Iraq and Syria, Islamic fundamentalists have been violently suppressed by secular socialist governments.

What lies behind this sweeping upheaval? Most of the Muslim world was subjected to colonial domination by European powers sometime during the twentieth century. Even those nations that retained formal independence were sometimes subjected to powerful outside influence, as when the U.S. Central Intelligence Agency organized the overthrow of the Iranian nationalist leader, Mohammed Mossadegh, in 1954 or when the Soviet military installed a puppet leader in Afghanistan in 1979. Such experiences established the possibility of Islam's becoming identified with national identity in anticolonialist struggles.

But generally Islam was not the vehicle of the anticolonialist movements that achieved national independence. In the Arab world many of these impulses were socialist, as in Algeria and South Yemen, or Arab nationalist, as in Egypt, seeking a transnational unity that never came to pass.[39] But profound disillusionment has set in with these initial post-independence solutions, and the general difficulties of world socialism have also shown up in many of these countries. Nevertheless, there remains fear of adopting Western-style market capitalism because it might lead to a renewed loss of national sovereignty. Hence Islam's appeal as a Third Way in the economic sphere becomes important.

In most of these countries, independence raised national identity issues because their borders were drawn by the colonial powers with little regard for cultural or ethnic considerations. This is true as well of the newly independent Central Asian republics, whose borders were drawn by Stalin during Soviet rule. This lack of solid national identity has led to the search for something else to unite them, and Islam has emerged as that something else.

Another factor was the success in the 1970s of the **Organization of Petroleum Exporting Countries (OPEC)** in raising oil prices and the enormous wealth this generated for some of its Muslim member states. This showed the possibility of Muslim countries

39. A similar case has been the displacement of the Arab nationalist Palestine Liberation Organization (PLO) by the Islamic fundamentalist Hamas as the most militant anti-Israeli movement among Palestinians.

asserting themselves economically against their former colonial powers. The first oil price shock in 1973 was preceded by the oil export embargo imposed by fundamentalist Saudi Arabia, OPEC's biggest oil exporter, to protest U.S. support for Israel during the Yom Kippur War.

Oil price increases triggered a surge of pride in the Muslim world, even as they also triggered envy of the wealthy Persian Gulf states. Inequalities of wealth became a problem and played a role in the rise to power by Shi'i fundamentalists in OPEC's second most powerful member nation, Iran. However, both Saudi Arabia and Iran have used their wealth to fund and encourage Islamic fundamentalist movements around the world.

Finally, there is the nostalgic appeal of Islam's glorious past. It offers a historical and cultural identity that has an international character, in which people can feel both independent and part of something greater and more glorious than themselves. The Saudi Arabians in particular have propagandized for the idea of Islamic economics as part of adopting of a *Shari'a*.[40] One's country can be modern, rich, and powerful, yet spiritually superior to the wealthy non-Muslim nations and in tune with an ancient and noble identity. The appeal of fundamentalist Islam is ultimately the appeal of the New Traditionalism.

THE PRINCIPLES OF ISLAMIC ECONOMICS

Fundamental Concepts

The principles of **Islamic economics** are derived from the *Shari'as*. Even within the accepted foundation of the *Qur'an* and the core *Hadith* there are varying interpretations of key passages regarding economic matters, even within particular *Shari'a* schools. As Islamic fundamentalism has increased in influence and become a serious contender for power in many societies, increasingly acrimonious debates have erupted among Islamic economists over these differences of interpretation and thus over what truly constitutes Islamic economics.

Three ideas underpin the Islamic economic system as a whole. The first is *tawhid,* or divine unity, the idea that all economic activity must be in accord with divine commands. The second is *khilafah,* or viceregency, the idea that humans are the partners of Allah in managing the world and its resources. This implies universal brotherhood, a concept stressed frequently in the *Qur'an* and the *Hadith* on its own. Finally there is *adalah,* or justice, which implies concern for the welfare of others and cooperation as the basic principle of

40. The importance of Saudi Arabia's role has been enhanced by Mecca and Medina's both being located there. Every year, over 2 million pilgrims from all over the Islamic world come to Saudi Arabia on the *Hajj* to visit those cities and are thus exposed to Saudi influence.

economic organization. Umer Chapra argues that ESOPs are a method whereby such cooperation can be achieved within an Islamic context.[41]

Zakat, or Almsgiving

Beyond these broad principles lie more specific injunctions, some positive commands, others negative prohibitions. The most important of the positive injunctions is **zakat,** or almsgiving. In theory almsgiving is supposed to be a voluntary activity by the devout, but in practice it became a religious tax used for income redistribution purposes by Islamic governments. In its original formulation it is a 2.5 percent tax on most forms of wealth, above a minimum necessity level, although higher rates, called the *tithe* (*'ushr*), are due for agricultural produce. The tithe seems more like an income tax than a wealth tax.

As with tax accounting in most economies, these simple rules have generated enormous discussion and the elaboration of numerous special cases and exceptions, with considerable differences between the different *Shari'a* codes that do not seem to follow any clear pattern.[42] Muhammed Siddiqi[43] presents debates of modern Islamic economists who have argued about whether or not higher rates can be charged for newer forms of wealth not specifically mentioned in the *Qur'an* or *Hadith*. Those specifically covered and thus subject to the *Qur'anic* fixed rates are flocks and herds, gold and silver, articles of trade, and agricultural produce, which pays the higher-rate tithe.

Countries that have introduced state-collected *zakat* include Pakistan, Saudi Arabia, Malaysia, and Sudan. A study of whether Pakistan's state-run *zakat* system introduced in 1980 will be able to eradicate poverty found in the negative.[44] Yet in Sudan *zakat* distribution to the poor is perceived politically as having a real impact.[45]

41. M. Umer Chapra, *Islam and the Economic Challenge* (Leicester, U.K.: Islamic Foundation, 1992), chap. 5. In addition, more general discussions can be found in Masadul Alam Choudhury, *Studies in Islamic Science and Polity* (New York: St. Martin's Press, 1998) and Masadul Alam Choudhury, *Studies in Islamic Social Sciences* (New York: St. Martin's Press, 1998).

42. In a classic account of economic laws in *Shari'a* codes, Aghnides spends nearly 150 pages describing these variations. See Nicholas P. Aghnides, *Mohammedan Theories of Finance* (New York: Columbia University Press, 1916), pp. 199–347.

43. Muhammed Nejatullah Siddiqi, "Muslim Economic Thinking: A Survey of Contemporary Literature," in K. Ahmad, ed., *Studies in Islamic Economics* (Leicester, U.K.: Islamic Foundation, 1980), pp. 191–315.

44. Faiz Mohammed, "Prospects of Poverty Eradication Through the Existing Zakat System in Pakistan," *Pakistan Development Review* 30 (1991): 1119–1129. A disproportionate number of Islamic economists have been from Pakistan, reflecting a combination of the British colonial educational system with Pakistan's establishment as the first modern Muslim state in 1947. The first self-declared work to present "Islamic economics" was by a Pakistani economist writing in Urdu in the same year (Sayyid Abdul A'la Maududi, *The Economic Problem of Man and Its Islamic Solution* [Lahore: Islamic Publications, 1947, English trans. English, 1975]). However, sophisticated economic analyses within a generally Islamic context were made much earlier by the medieval Muslim philospher and historian Ibn Khaldun (see Abdol Soofi, "Economics of Ibn Khaldun Revisited," *History of Political Economy* 27 [1995]: 387–404).

45. "Sudan's Islamic Rulers Split on Links with West," *Washington Post,* February 27, 1993, p. A18.

It can be argued that *zakat* is merely the basic ingredient of the fiscal policy of an Islamic state. Other kinds of taxes can be raised to cover state expenses, such as income taxes. Furthermore, the *Shari'a* codes allow for taxing non-Muslims at higher rates. In the early caliphates such practices played a role in pushing large masses of people toward conversion.

Hard Work and Fair Dealing

Another positive Islamic economic injunction involves working hard and dealing fairly with others. Sellers should use fair weights and measures. One should work hard at one's chosen profession, presuming it is an honorable one, and enjoy the fruits of one's labors. Rightly acquired wealth is approved of in this system. However, one should be modest in the enjoyment of wealth. Furthermore, one should pay one's workers a just wage, and one should charge just prices for one's output. One should be efficient and not wasteful ("Allah does not love people who waste what they have." *Qur'an* 6: 141). In short, Islam would not disapprove of the Better Business Bureau but would disapprove of conspicuous consumption.

Proper Consumption

Pork,[46] nonritually slaughtered animals, and alcoholic beverages are not to be consumed. Prostitution and gambling are forbidden.

Gharar, or the Avoidance of Chance

The prohibition against gambling led to a more general prohibition against **gharar,** translated variously as chance or uncertainty. One is not to make contracts when the outcome cannot be predicted. Thus, speculation, forward markets, and lotteries are all forbidden. This prohibition developed later and is not to be found in the *Qur'an*. Its basis is the specific forbidding of a particular game of chance in the *Qur'an*.

The forbidding of contracts involving *gharar* has led to controversy regarding two specific areas. One is insurance, where there are three schools of thought. The first view is that insurance is acceptable because it involves reducing risk for a group using the law of large numbers and is thus different from gambling, which involves an individual choosing to create additional personal risk. Another perspective holds that insurance is *gharar* and therefore unacceptable. A third view objects to life insurance but not to other forms of

46. That both Islam and Judaism forbid the consumption of pork while Christianity generally does not has occasioned much discussion. The **cultural materialist,** or cultural ecology, school of anthropology argues that this reflects ecological-economic imperatives, pigs being especially costly to raise in desert environments compared with other animals; see Marvin Harris, *Cows, Pigs, Wars, and Witches* (New York: Random House, 1974). However, other explanations have been proposed; see Paul Diener and Eugene E. Robkin, "Ecology, Evolution, and the Search for Cultural Origins: The Question of Islamic Pig Prohibition," *Current Anthropology* 19 (1978): 493–540.

insurance. A general outcome of this controversy has been suspicion of private provision of insurance and support for public provision instead.

The other area of controversy involves sharecropping rents, which some Islamic economists disapprove of because of the *gharar* element involved, though they approve of fixed rents. However, the discussion of land rent is somewhat complicated. Some approve of land rent in all forms. Some disapprove of rent in all forms. Others disapprove of fixed rents while approving of sharecropping (the most widespread form of rent in the Middle East). This last viewpoint arises from considering fixed rent to be a form of **riba,** or interest, and sharecropping to be a form of **qirad,** or profit sharing. Interest payments are strictly forbidden, while profit sharing is allowed. Those disapproving of all land rent say that fixed rents are *riba* and sharecropping is *gharar*.

Qirad, or Profit Sharing

A deep issue for Islamic economics that remains unresolved is the line between disapproved-of chance taking (*gharar*) and approved-of risk sharing through profit sharing, known as *qirad*. The answer may be that approved profit sharing involves no additionally sought-out risk and that profit-sharing agreements must be clearly spelled out to minimize uncertainty over the details of risk sharing.

The basis for accepting profit sharing comes from a tradition that the companions of the Prophet practiced it, as did the Prophet Muhammed himself in his early business activities. Nothing is specifically said of it in the *Qur'an,* and it is discussed only slightly in the *Hadith*. The different *Shari'as* display variations on accepted forms and structures.

A wide variety of specific profit-sharing arrangements have been allowed in the various codes.[47] A universally accepted one that has received much attention from current Islamic economists is called **mudarabah.** This is an Islamic form of venture capitalism in that there is a financial backer, which might be an Islamic bank, and an entrepreneur-manager. The first provides an agreed-upon sum of metallic money or possibly goods.[48] The first party then receives an agreed-upon share of subsequent net profits. A portion of the funds go to the second party as payment for services. If the enterprise fails, the first party loses all invested funds. The second party loses what was put in as labor time.

In practice, such arrangements have been undermined by fraud and dishonesty by entrepreneurs in reporting profits to investors. Thus, although such deals are supposed to be the ideal asset of a truly **interest-free bank,** during the late 1980s the share of Islamic

47. For discussion of these varieties, see Muhammed Anwar, *Modelling Interest-Free Economy: A Study in Macro-economics and Development* (Herndon, Va.: International Institute of Islamic Thought, 1987) and Paul S. Mills and John R. Presley, *Islamic Finance: Theory and Practice* (New York: St. Martin's Press, 1999).

48. The fixation on gold and silver as the only true forms of money has led the Saudi Arabians to put silver threads in their paper money.

bank assets that took this form in Iran and Pakistan, respectively, were only 38 percent and 14 percent,[49] with shares taking this form less than 10 percent in the late 1980s and early 1990s in Islamic banks in Egypt and Jordan.[50] Such arrangements reflect the ideal cooperative spirit of Islam. But the failure of many practitioners to fulfill the ideal and to cheat on their partners has been denounced by Islamic economists.

From the standpoint of non-Islamic economists these situations are classic examples of *principal-agent problems,* with the first party being the principal and the second party being the agent. There is *asymmetric information* between the parties, with the entrepreneur more aware of the actual situation of the enterprise and thus able to control the reporting of profits and the share that the financier receives. Most observers are unsurprised that financiers in such situations would seek more certainty regarding returns on their investments.

Riba, or the Forbidding of Interest

The core demand of Islamic economists is that interest be forbidden. This demand arises from condemnations in the *Qur'an* and the *Hadith* of *riba,* which literally means "increase or addition" but which is accepted as meaning interest in some form. Some argue that it only refers to an increase beyond some acceptable level, but this is a minority opinion among current Islamic economists, who mostly argue that all interest should be forbidden. It is forbidden both on money loaned over time and within barter transactions, where only goods are to be traded for each other at a supposedly equal rate.

Although there are several relevant passages, perhaps the most famous one, which also indicates a view of trade, is *Qur'an* (2: 275):

> Those who benefit from interest shall be raised like those who have been driven to madness by the touch of the devil; this is because they say: "Trade is like interest" while God has permitted trade and forbidden interest. Hence those who have received the admonition from their Lord and desist, may have what has already passed, their case being entrusted to God; but those who revert shall be the inhabitants of the fire and reside therein forever.

It can be argued that interest payments violate the fundamental Islamic requirements of brotherhood and justice because often interest is oppression and exploitation by the rich of the

49. Mohsin S. Khan and Abbas Mirakhor, "Islamic Banking: Experiences in the Islamic Republic of Iran and Pakistan," *Economic Development and Cultural Change* 38 (1990): 353–374. Details of the Pakistani Islamic banking system are discussed in Peter A. Cornelisse and Wouter Steffelaar, "Islamic Banking in Practice: The Case of Pakistan," *Development and Change* 26 (1995): 687–699.

50. Rajesh K. Aggarwal and Tarik Yousef, "Islamic Banks and Investment Financing," *Journal of Money, Credit, and Banking* 32 (2000): 93–120. Different sources provide contrasting data with regard to Malaysia, with Aggarwal and Yousef reporting low single-digit levels, whereas Muhammed Anwar, "The Role of Islamic Financial Institutions in the Socio-economic Development in Malaysia," *Pakistan Development Review* 30 (1991): 1131–1142, reports a level of 74 percent in 1989.

poor, especially when consumption loans for people in desperate circumstances are involved. The rich should take care of the needy, but interest income flows from the poor to the rich. Furthermore, this tends to make the interest-receiving rich idle and unproductive, a parasite class. Similar arguments played roles in discussions by Greek philosophers like Aristotle and also influenced medieval Roman Catholic Church discussions such as those of Thomas Aquinas.

It can also be argued that the redistribution of income leads to economic stagnation. In this scenario, consumption is reduced because of the lower average propensity to consume of the rich, who invest the income in expanded production, which leads to a surplus, as the market has diminished. This situation is aggravated as interest costs are passed on to consumers as higher prices. Mawdudi saw this stagnation leading to depression, monopoly, and imperialism.[51] Focusing on profit sharing rather than interest shifts the focus to the entrepreneur and thus stimulates genuine economic growth while removing a source of cyclical fluctuation.

Furthermore, forbidding interest eliminates the *Hayekian monetary trade cycle* of excessive investment responses to interest rate changes, leads to a closer link between savings and investment, and reduces destabilizing speculation. In this view, forbidding interest reduces inflation because there will be less overexpansion of credit and fewer people trying to live beyond their means. Cost pressures are reduced because producers can make profits at lower price levels, with the result that anticipated inflation will not affect investment. Finally, it may be efficient to forbid debt if there are sufficiently high costs associated with default and liquidation.

The most serious criticism of these arguments has been that forbidding interest will lead to insufficient savings and hence insufficient real capital investment and economic growth. Some have responded that zero interest rates mean that future generations will not have their preferences discounted and that there will be a greater orientation to the future. Also, *zakat* may serve as a motive for saving by devout Muslims.

Another problem with forbidding interest is how to allocate capital if there is no price for it. Socialist-oriented Islamic economists[52] argue that this can be done by central planners using mathematical programming techniques, although in chapter 3 we have seen that this is easier to advocate than to implement. The non-socialist Naqvi[53] has suggested setting the *zakat* rate equal to the opportunity cost of capital, which connects with the above theory about the motive for Islamic savings.

51. Sayyid Abdul A'la Mawdudi, *Interest* (Lahore: Islamic Publications, 1961) (in Urdu). Marx saw interest as arising from exploitive surplus value and thus thought it could lead to imperialism.

52. See Ausaf Ali, *Studies toward an Understanding of the Developmental Perspective* (Karachi: Royal Book, 1979).

53. Syed Nawab Haider Naqvi, *Ethics and Economics: An Islamic Synthesis* (London: Islamic Foundation, 1981).

The Practice of Islamic Banking

If proper Islamic banks are not allowed to charge interest, how can they make money? The answer is to finance and support the various allowed *qirad,* or profit-sharing, arrangements such as *mudarabah* described above. Such an approach effectively makes Islamic banks the equivalent of non-Islamic mutual funds. Someone depositing money in an Islamic bank de facto becomes part owner of the various enterprises to which the bank has lent money.

This is the idealistic view. However, there are many different allowable arrangements, some of which can be made to function almost exactly like standard interest. In most Islamic banks, probably the most widely used such arrangement is **murabaha.** This involves the financier purchasing goods for the producer and then selling them to him at an agreed-upon inflated price, which is to be paid back to the financier at an agreed-upon later date. This is viewed as legitimate by most Islamic economists because the financier bears risk during the period in which he owns the goods.

But this period can be reduced to an infinitesimal time span and most practicing Islamic banks do keep such periods very short, thereby sharply reducing their own risk. Islamic banks increasingly want to do this, as they face frustration in getting their partners to report properly to them on net profits, and such arrangements can largely resolve this principal-agent problem. That this approach may make a mockery of the whole business is the view of some Islamic economists, who argue that this method and similar ones should not be used widely.

In any case, self-identified Islamic banking is a dramatically growing phenomenon. The first successful such institution was a savings bank founded in 1963 in the Egyptian town of Mit Ghamr. It was shut down by the government in 1968 during a socialist binge, but a full-service Islamic bank was opened in 1972 as the Nasser Social Bank. In 1975 a full-service Islamic bank was opened in Dubai. At the same time the oldest son of then King Faisal of Saudi Arabia, Mohammed, founded the Islamic Development Bank (IDB), based in Jeddah, Saudi Arabia. This has been a major spearhead of the international movement toward Islamic banking and has been involved in much international trade and development lending. Islamic banks are now operating in over 60 countries, including the United States.[54] Iran, Pakistan, and Sudan allow only Islamic banks, although in the first two of these countries, the interest-like *murabaha* form has been most widely used.

Many of the complexities and issues surrounding Islamic banking have come to a head in Saudi Arabia, one of the most fundamentalist Islamic regimes. Despite this tradition,

54. In nations like the United States with relatively small Muslim minorities, using an Islamic bank is not only a way for a devout Muslim to feel virtuous, but can also facilitate meeting like-minded individuals whom one might be more inclined to trust and to do business with. See Timur Kuran, "Islamic Economics and the Islamic Subeconomy," *Journal of Economic Perspectives* 9(4) (1995): 155–173.

Western-style banking is allowed in Saudi Arabia, having developed from local money-changing operations, but is subject to severe restrictions regarding interest.[55]

But this existing system faces two major challenges. One is the demand by many *ulama* and also by some economists such as Umer Chapra,[56] who works for the Saudi Arabian Monetary Agency (SAMA), for the outright prohibition of interest and therefore of non-Islamic banks. This position has strong support from some factions within the ruling Saudi royal family, such as those allied to Prince Mohammed ibn Faisal, founder and head of the IDB.

The other challenge is that Saudi Arabia formally follows the very strict *Hanbali Shari'a* law code. This means that there is no legal support for the right to collect any interest, even though standard banking is technically allowed. As the country's economic growth slowed following the post–1981 decline in oil prices, many bank loans became nonperforming and debtors began going to the religious courts to have their debts declared invalid. The religious courts responded sympathetically to such appeals. By 1987 a crisis was declared, and SAMA formed a committee to resolve the situation. But its efforts failed as it again collided with the entrenched position of the religious courts, with the result that many Western banks are now pulling out of the country. Kuwait and the United Arab Emirates are also experiencing similar complications. In Saudi Arabia, the *ulama* have opposed the issuance of Saudi development bonds to finance the budget deficit of recent years.

Although a likely outcome of this situation is the establishment of full-blown Islamic banking, other difficulties are implied. In particular, there seem to have been recent problems regarding the profitability of Islamic banks. Some of this difficulty is caused by the overeager loans made during the oil-boom 1970s that have now gone bad. Some may be caused by lack of knowledge or experience on the part of the new Islamic bankers. Some may be a result of the fraud and misreporting of profits mentioned above.

The result has been increased caution on the part of Islamic banks and an increased trend toward the more interest-like lending arrangements like *murabaha* rather than the more profit-sharing ones like *mudarabah*. Symbolic of this trend has been the changing composition of the IDB's portfolio between 1975 and 1986, with the former increasing from nil to over 80 percent while the latter decreased from 55 percent to 1 percent.[57] (See box 4-2.)

55. See Peter W. Wilson, *A Question of Interest: The Paralysis of Saudi Banking* (Boulder, Colo.: Westview Press, 1991), chap. 2.

56. See M. Umer Chapra, *Towards a Just Monetary System: A Discussion of Money, Banking and Monetary Policy in the Light of Islamic Teachings* (Leicester, U.K.: Islamic Foundation, 1985).

57. Timur Kuran, "The Economic Impact of Islamic Fundamentalism," in M. E. Marty and R. S. Appleby, eds., *Fundamentalisms and the State: Remaking Polities, Economies, and Militance* (Chicago: University of Chicago Press, 1993), p. 311.

Box 4-2
Is Islam a Third Way between Capitalism and Socialism?

Does Islam approve of private ownership of the means of production, in short, of capitalism? Aside from approving of trade and profit, the *Qur'an* clearly approves of private property. Some of its most detailed legal discussions concern rules of inheritance, although these rules tend to favor the division of fortunes among many persons.* Thus, Islam is at least compatible with a moderate version of market capitalism appropriately modified to be consistent with *Shari'a* laws.

However, despite the decline of world socialism, a number of modern Islamic economists have argued for a socialist thrust or potential in the religion. This has been the case in Iran, where a wave of nationalizations occurred after the fundamentalists gained power in 1979. In Libya, the semisocialist regime of Moammar Gadahfi incorporates some Islamic ideas into its system.

The quasi-socialist tradition within Islamic economic thought was founded by Abu Dharr al-Ghifari, a Companion of the Prophet Muhammed. He believed that all wealth above a minimum subsistence level should be redistributed to the poor. For his troubles he is said to have been banished from Medina. The *Ismaili* sect of Shi'ism has a strong "tax the rich and redistribute" orientation, although its leader, the Aga Khan, is very wealthy. A subgroup of Ismailis, the *Qarmatians*, established a regime in Bahrain and eastern Arabia in the 900s that practiced cooperation among free men (they owned slaves) and placed very heavy taxes on the rich for redistribution to the poor.

But this is not state ownership of the means of production. To defend this position, modern Islamic economists have reinterpreted portions of the *Qur'an*. A point emphasized by the Islamic socialists is that the ultimate owner of everything is Allah. Thus it can be argued that His devout followers, perhaps a state-affiliated *ulama* such as in Iran, should be in charge of managing His property.

There are competing translations of *Qur'an* 51: 10. Mannon† translates it as follows:

> He [God] set on the earth mountains standing firm, high above it, and bestowed blessings on the earth, and determined its resources, in four Days, to be equally shared by all the needy persons.

However, other translations suggest that such equal sharing occurred early in historical time or make no reference at all to it. This is one of those areas where the highly poetic nature of the *Qur'an* leaves it open to a variety of interpretations.

*One loophole here is the establishment of a charitable religious trust, or *waqf,* that can be passed on without division.

†Mohammed Abdul Mannon, *Islamic Economics: Theory and Practice* (Lahore: Muhammed Ashraf, 1970), p. 104.

SUMMARY AND CONCLUSIONS

The New Traditional Economy presents itself as an ideal that combines the efficiency of markets with the humaneness of socialism. Alienation will be eliminated as economic motives are subordinated to religious ones in a higher moral universe. In the New Traditional Economy, all people will live in harmony with each other and with nature, or so its advocates argue.

Buddhist economics is seen as tending toward low-growth socialism in Burma (Myanmar) and a fairly straightforward market capitalism in Thailand, although some ecological economists support a variation of the Burmese version. Confucian economics emphasizes order and hierarchy in a system overseen by educated elites but open to market forces.

Hindu economics derives from the writings of Gandhi, with an emphasis on self-sufficient sets of villages, using simple technologies, and operating within a reformed caste system.

Judaic economics is largely promarket, although previously adjusted to the pressure to build up and maintain the Israeli state. Some Jewish theorists have focused on some biblical rules about tithes, as well as the redistribution called for in the jubilee year, as the basis for a new Jewish economics. Christian economics has ranged widely from pro-feudal medieval Roman Catholicism to the ultra-pro-market capitalism of the fundamentalist Protestant New Christian Right in the United States today. Despite the latter, leftist Protestant fundamentalists in the United States focus on different biblical passages or interpret those cited by the New Christian Right differently, with the result that there are a variety of Christian economic interpretations.

The history of Islam ranges from its founding by the Prophet Muhammed, through the early caliphates, the development of the various law codes (*Shari'a*), the decline of Islam as European power expanded, and the recent Islamic revival.

Principles of Islamic economics include the *zakat* tax for redistributing income to the poor, the approval of hard work and fair dealing, the forbidding of the consumption of pork, alcohol, and certain other items, the forbidding of dealing in chance (*gharar*), the approval of profit sharing (*qirad*), and the forbidding of interest (*riba*). The latter lead to the theory and operations of Islamic banks that do not charge interest. One conclusion is that there is a strong tendency to use approved-of financing mechanisms that closely resemble interest.

Islamic attitudes toward property, capitalism, and socialism have involved much debate. Although the *Qur'an* approves of both markets and property, a distinct tradition within Islamic economics has stressed more radical income redistribution and severe limits on private property, leading some Islamic economists to declare it a Third Way between capitalism and socialism.

This brings us to the final question: Can Islamic economies really function, and can they achieve their goals? At one level the answer is trivial since Saudi Arabia has never stopped being an Islamic economy and it is doing quite well, although prior to the discovery of oil there, it was isolated and poor, thus not proving the case one way or the other. Other would-be Islamic economies have been in power too short a time to give a definitive answer, although we shall consider the example of Iran more closely in chapter 17.

Let us conclude by citing two different authorities with strongly divergent viewpoints. For the positive one, we have Umer Chapra:[58]

> The institutions of zakat, inheritance, and the abolition of interest are not just values that every Muslim has to comply with faithfully for his personal well-being in this world and the Hereafter, they

58. M. Umer Chapra, *Islam and the Economic Challenge* (Leicester, U.K.: Islamic Foundation, 1992), p. 226.

also have an important role to play in economic restructuring. . . . However, all these are parts of a total socio-economic reorganization and their full potential cannot be realized if applied in an isolated manner. The Islamic program has to be accepted and enforced as a whole, and not just in parts, for total effectiveness.

For the negative one we have Timur Kuran,[59] who after forecasting takeovers by Islamic fundamentalists in many places declares:

Failures along the way could easily be taken to mean educational efforts need to be redoubled and non-Islamic influences curbed further. In this vain search for the Islamic utopia the political establishment would become increasingly repressive, making it treacherous to suggest that Islam does not offer clear and definitive answers to all economic problems. Meanwhile, the discipline of Islamic economics could feed on itself for decades, mistaking apologetics for serious reflection and cosmetics for genuine reform. The twenty-first century could thus become for Islam what the twentieth was for socialism: a period of infinite hope and promise, followed by disappointment, repression, disillusionment, and despair.

We shall not attempt to adjudicate between the shining optimism of Chapra and the dark pessimism of Kuran. However, we share with them the forecast that over the near future we shall see an increasing number of countries attempting the experiment of Islamic economics.

INTERNET SOURCES

www.omsakthi.org/religions.html

www.homestead.com/wysinger/religions.html

www.sacred-texts.com/world.htm

QUESTIONS FOR DISCUSSION

1. In what sense can Buddhist and Hindu economics be said to be supportive of modern "green" movements?

2. Compare and contrast Buddhist, Confucian, and Hindu views of the role of the state in the economy.

3. Compare and contrast Judaic, Catholic, Protestant, and Islamic views of market capitalism.

4. Why does Islam seem to have a more fully developed economic system than other major world religions?

59. Timur Kuran, "The Economic Impact of Islamic Fundamentalism," in Marty and Appleby, eds., *Fundamentalisms and the State,* p. 332.